

ADVANTAGE Daily Drilling Fluids Report - 36



INTEQ

Rpt Date 11/Dec/2006		Well Name/No Bilabri D4		Section Name/No 12-1/4" Section #3		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 09/Nov/2006		MD 1200.00 m		Progress 87.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon / Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Troy Nolan	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4				19 1/2	172.50	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
Drill Collars			Drill Pipe			783.5	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0	
						422							
						Tot Active							
						1205.5							
						In Storage	Circulation Times						
						1025	Surface to Bit	min/stks			Total System	min/stks	
							Bottoms Up	min/stks					

Mud Properties				Max Ann Velocity		Hole Information			
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	psi	Water Depth
Sample From		Flow Line	Reserve		AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate
Check Time		09:00	20:00		AV Open Hole	ft/min	Solids Analysis		
MD m		1186.00	1200.00		Vc Open Hole	ft/min	Property	1	2
TVD m		1186.00	1200.00		Vc Drill Pipe	ft/min	LGS %	11.75	0.75
Bit Depth m		1186.00	0.00		Min Ann Velocity		LGS lb/bbl	107.05	6.86
Density ppg	10.00-10.50	9.60	7.80		AV Riser	ft/min	HGS %	0.72	0.00
Funnel Visc. sec/quart		68.0	48.0		AV Casing	ft/min	HGS lb/bbl	10.54	0.00
Flow Line Temp degF		128.0			AV Open Hole	ft/min	Avg Dens Sol sg	2.6919	
Test Temp degF		126.0	80.0		Bit Information				
Rheol Temp degF		120.0	120.0		Size				
PV cP		32	13		Hours On Bit				
YP lbf/100ft^2		30	2		Bit Number				
10sec Gel lbf/100ft^2		18	2		BHA Number		Rheology		
10min Gel lbf/100ft^2		26	3		Depth In		600 RPM	94	28
HTHP Filtrate cc		3.0	6.0		Bit RPM		300 RPM	62	15
HTHP Cake in/32		2.0	3.0		WOB		200 RPM	51	10
HTHP Temp degF		250.0	250.0		Nozzles		100 RPM	36	6
HTHP Pressure psi		500	500		Bit Hydraulics		6 RPM	17	2
Retort Water %		27.0	24.0		TFA		3 RPM	15	1
Retort Base Fluid %		59.0	70.0		Nozzle Vel	ft/sec			
Retort Solids %		14.0	6.0		Bit Press Loss	psi			
Corrected Solids %		12.5	0.8		HHP / Area	HP/in^2	Hydraulic Analysis		
Oil:Water Ratio		69:31	74:26		HHP	%	Behavior Index (n)		
Alk (Whole Mud-POM) cc/cc		1.90	2.10				Consistency Index (k)		
Cl (Whole Mud-Clom) cc/cc		39000	112000				#sec^n/100ft^2		
Ca (Whole Mud-Caom) cc/cc		0	0				ECD @ Bit Depth		
Excess Lime lb/bbl		2.5	2.7				ECD @ Casing Shoe		
Brine Density sg		1.16	1.42		Fluid Comments/ Recommendations				
NaCl % wt		0	0		While drilling, continued chemical treatment of active system to maintain desired mud properties and chemistry. Received 900 bbls of unweighted 7.8 ppg mud from 'Comrade' - second mud check was done on this, also received CaCO3 fine & medium.				
CaCl2 % wt		18	42						
Elect. Stab.V		535.0	122.0						
Sand %		0.20							
					Drilling Comments				
					Drilled from 1113m to 1200m with seepage losses averaging 4 bbls/hr. Circulated hole clean and backreamed to casing shoe at 800m, slugged pipe and POOH complete.				

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Jerry Laydoo / Kunle Olayinka	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	6982.45 USD	406876.76 USD	473137.01 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

**BAKER
HUGHES**

Rpt Date 11/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)																				
Job# 1		Spud Date 09/Nov/2006			MD 1200.00 m		Progress 87.00 m		Present Activity Tripping																				
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Troy Nolan																				
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN																				
Solids Control Equipment																													
Name		#	Mfr	Hours hours	Screen Sizes		Act Volume Lost bbl		Res Volume Lost bbl		Comments																		
CENTRIFUGE		1		0.0			0.0		0.0																				
CENTRIFUGE		2		0.0			0.0		0.0																				
DESANDER		1		0.0			0.0		0.0																				
DESILTER		1		0.0			0.0		0.0																				
MUD CLEANER		1		0.0	175, 210		0.0		0.0																				
SHALE SHAKER		1		0.0			0.0		0.0																				
SHALE SHAKER		1		16.0	3 x 175		2.0		0.0																				
SHALE SHAKER		2		0.0			0.0		0.0																				
SHALE SHAKER		2		16.0	3 x 110		2.0		0.0																				
SHALE SHAKER		3		16.0	3 x 175		2.0		0.0																				
SHALE SHAKER		3		0.0			0.0		0.0																				
					Total Volume Lost		6		0																				
Volumes																													
Additions bbl				Losses bbl				Total Volumes bbl																					
Mud Added	900	Weight Materials			Downhole	86	Left In Pit		Starting Volume	1422.2	Riser w/o Pipe	209.1																	
Brine		Water			Cased Off		Trip Losses		Daily Additions	905.5	Casing w/o Pipe	383.2																	
Base Fluid		Product		5.5	Left In Hole		Injected		Daily Losses	97	Open Hole w/o Pipe	191.3																	
Recycled		Other			Discharged		Spill To Environment		Ending Volume	2230.7	String Displacement																		
					SCE	6	Onshore Disposal		Net Change	808.5	String Capacity																		
					Evaporation	5	Returned				Total Hole w/ Pipe	783.5																	
					Other Losses						Total Active	1205.5																	
											Total Reserve	1025.0																	
IADC Hours																													
Drilling Formation					10	Circulate			2	Tripping		8	Reaming		4														
Primary Currency USD					Secondary Currency					Totals USD																			
Daily Product Cost					5632.45					Daily Product Cost					0.00					Primary Product					363170.51				
Daily Tax					0.00					Daily Tax					0.00					Secondary Product					0.00				
Debit/Credit					0.00					Debit/Credit					0.00					Primary Engineering					43706.25				
Daily Engineering Cost					1350.00					Daily Engineering Cost					0.00					Secondary Engineering					0.00				
Total Daily Cost					6982.45					Total Daily Cost					0.00					Primary Total					406876.76				
Total Inventory Value					473137.01					Total Inventory Value					0.00					Secondary Total					0.00				
										Deck Load					639920					lb									
Products and Services																													
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl														
Bulk																													
MIL-BAR		1000 kg	135					135		540.00				81.38	101.89														
Oil Based Product																													
CARBO-GEL		25 kg	80					10	70	264.28		2642.80		2.13	0.46														
MIL-LIME		25 kg	120					20	100	34.25		685.00		3.51															
OMNI-COTE		55 USgal	4					4		2150.00																			
OMNI-MUL		55 USgal	20					20		995.06				2.17	1.62														
OMNI-PLEX		55 USgal	12					1	11	1618.95		1618.95		1.77	0.69														
OMNI-TEC		55 USgal	12					12		925.00				0.62	0.36														
PARA-TEQ		1 bbl	938					938		280.00																			
SYN-TEQ (PARA)		1 bbl																											
Water Based Product																													
CAUSTIC SODA		25 kg	32					32		37.89																			
MIL-GUAR		25 kg	50					50		135.00				0.52	0.65														
SOLUFLAKE		25 kg								57.24				1.12															
Xanthan Gum		25 kg	39					39		345.22				0.89	1.11														
XCIDE 102		55 USgal	1					1		2508.30				0.01	0.01														